

Court No. - 40

Case :- WRIT - C No. - 68976 of 2005

Petitioner :- M/S Mahavir Iron Foundry And Another

Respondent :- Dakshinanchal Vidyut Vitran Nigam Ltd. And Others

Counsel for Petitioner :- Seema Agrawal, Mayank Agrawal

Counsel for Respondent :- W.H. Khan, A.N. Singh

Hon'ble Siddhartha Varma, J.

Hon'ble Ajit Singh, J.

On the request of the learned counsel for the petitioners, list this case on 18.10.2022 showing the name of Sri Baleshwar Chatruvedi, as counsel for the respondent.

Learned counsel for the petitioners may also inform Sri Baleshwar Chatruvedi about this order.

Order Date :- 21.9.2022

AU

Court No. - 40

Case :- WRIT - C No. - 68976 of 2005

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Respondent :- Dakshinanchal Vidyut Vitran Nigam Ltd. And Others

Counsel for Petitioner :- Seema Agrawal, Mayank Agrawal

Counsel for Respondent :- W.H. Khan, A.N. Singh

Hon'ble Siddhartha Varma, J.

Hon'ble Ajit Singh, J.

On the request of the learned counsel for the petitioner, list this case on 14.11.2022.

When the case is listed next, the name of Sri Baleshwar Chaturvedi counsel for the Electricity Department shall be shown in the cause list as counsel for the respondents.

Order Date :- 18.10.2022

PK

(Ajit Singh, J.) (Siddhartha Varma, J.)

Court No. - 40

Case :- WRIT - C No. - 68976 of 2005

Petitioner :- M/S Mahavir Iron Foundry And Another

Respondent :- Dakshinanchal Vidyut Vitran Nigam Ltd. And Others

Counsel for Petitioner :- Seema Agrawal, Mayank Agrawal

Counsel for Respondent :- W.H. Khan, A.N. Singh, Baleshwar Chaturvedi

Hon'ble Siddhartha Varma, J.

Hon'ble Ajit Singh, J.

Rejoinder affidavit filed today be kept on record.

List this case on 9.12.2022 in the top ten cases of the cause list.

On the next date, the counter affidavit be also placed on record.

Order Date :- 2.12.2022

PK

(Ajit Singh, J.)

(Siddhartha Varma, J.)

Court No. - 40

Case :- WRIT - C No. - 68976 of 2005

Petitioner :- M/S Mahavir Iron Foundry And Another

Respondent :- Dakshinanchal Vidyut Vitran Nigam Ltd. And Others

Counsel for Petitioner :- Seema Agrawal, Mayank Agrawal

Counsel for Respondent :- W.H. Khan, A.N. Singh, Baleshwar Chaturvedi

Hon'ble Siddhartha Varma, J.

Hon'ble Rajendra Kumar-IV, J.

Heard Sri Mayank Agrawal, learned counsel for the petitioners; Sri Ashutosh Dwivedi, Advocate holding brief of Sri Baleshwar Chaturvedi, learned counsel for the respondent nos.1, 2 and 3 and Sri Shad Azam, Advocate holding brief of Sri Ajay Singh, learned counsel appearing for respondent no.4.

Judgment reserved.

Learned counsel for the parties may submit their written submissions within a week.

Order Date :- 9.12.2022

GS

(Rajendra Kumar-IV, J.) (Siddhartha Varma, J.)

In Chamber

Case :- WRIT - C No. - 68976 of 2005

Petitioner :- M/S Mahavir Iron Foundry And Another

Respondent :- Dakshinanchal Vidyut Vitran Nigam Ltd. And Others

Counsel for Petitioner :- Seema Agrawal, Mayank Agrawal

Counsel for Respondent :- W.H. Khan, A.N. Singh, Baleshwar Chaturvedi

Hon'ble Siddhartha Varma, J.

Hon'ble Rajendra Kumar-IV, J.

The petitioner no.1 was running a foundry for which it had an electricity connection of a sanctioned load of 41.3 HP. It paid the electricity bills regularly. Thereafter when in the year 2000, the area for which the petitioner no.1 was having its unit was included in the Taz Trapezium Zone then owing to pollution etc. the petitioner's unit was shut down. However, the petitioner no.1 had continued to have electricity connection in anticipation of having a fresh unit which could be run in the Taz Trapezium Zone. For continuing the electricity connection, the petitioner no.1, upon the inspection made by the Electricity Department, continued to pay the minimum consumption charges. For running a new business of manufacturing of P.V.C. granules, the petitioner no.1 obtained a licence on 2.9.2005 and also thereafter got its unit inaugurated. On 12.9.2005, the Electricity Department carried out a surprise check of the petitioner's unit and after coming to a conclusion that the petitioner no.1 was illegally using electricity calculated Rs.17,28,183.60/- which were payable by the petitioner no.1. The amount was calculated by applying the formula that when the petitioner no.1 had a load of 41.03 KW, it was presumably using electricity for 20 hours for the past 180 days. The calculation was made and a bill of Rs. 17,28,183.60/- was generated for the payment by the petitioner. Also, thereafter the supply was disconnected till such time the petitioner paid the amount payable as per the bill. The petitioner

no.1 on a basis of the surprise check on 12.9.2005 had received a provisional assessment on 24.9.2005. This was replied to by the petitioner no. 1 and thereafter a final assessment was made and it was held that the petitioner no.1 was to pay Rs. 17,41,477/-. Upon receiving of this final assessment bill, the petitioner no.1 had once again submitted its objection and as it has been averred by the petitioner no.1 all action was again taken in absolute violation of the principles of natural justice. Aggrieved thereof, the petitioner no.1 had approached the High Court.

Affidavits between the parties were exchanged and the matter was thereafter heard.

Learned counsel for the petitioner no.1 has made the following submissions:-

- I. The petitioner no.1 had stopped using the electricity in the year 2000 and thereafter the electricity department itself upon seeing that no consumption was there was issuing the minimum consumption bills which the petitioner no.1 was continuously paying.
- II. The inspection on 12.9.2005 had on the basis of the load calculated on the basis of a formula and had found that the petitioner no.1 on the date of inspection was to pay a bill which was to the tune of Rs. 17,41,477/-. This report, learned counsel for the petitioner submitted, could not have been given by the authority who had made the inspection as the assessing officer on that particulars date of inspection had not been appointed under Section 126(1) of the Electricity Act, 2003.

Learned counsel for the petitioners states that for the first time the notification for the appointment of an Executive Engineer was issued on 27.6.2006.

He submits that before that there was no assessing officer and, therefore, the report *per se* was bad in the eyes of law.

Learned counsel for the petitioners read out paragraph no. 14 of the writ petition which had mentioned about the non-appointment of the assessing officer. This paragraph was relied to in paragraph no. 14 of the counter affidavit but there was no averment to the effect as to whether any assessing officer had been appointed. The paragraph no. 14 of the writ petition and the paragraph no. 14 of the counter affidavit are being reproduced here as under:-

Paragraph 14 of the Writ Petition:- That further the provisions pertaining to assessment regarding unauthorized use of electricity have been provided under section 126 of the Act, Sub-section (1) provides that the assessing officer who has to assess a consumer under section 126 has to be designated by the State Government, who has to be an officer of a Board or Licensee or the State Government. Till date the State of Uttar Pradesh has not come up with any notification designating the assessing officer. Therefore any action taken by the respondents under the garb of a designated assessing officer under the Act is against the provisions of law and is liable to be struck down by this Hon'ble Court.

Paragraph 14 of the Counter Affidavit:- That the contents of paragraph nos. 13, 14 & 15 of the writ petition are incorrect and denied. It is wrong to say that no appellate authority has been constituted. The appellate Authority has already been constituted by

order dated 17.1.2004 and the Central Government has also framed rules notified on 16.4.2004. The question of working of meter in the present case is not relevant, inasmuch as the petitioner was found committing theft of electricity by cutting incoming cable before meter.

- III. Learned counsel for the petitioners has further submitted that even the person who was making the inspection on the basis of gadgets, machines and devices which were running in the premises of the petitioner no.1 could not have so inspected as the inspection was not made as per the provisions of Criminal Procedure Code, 1973, with regard to search and seizure.

Learned counsel for the petitioner further stated that when the inspection was made on 12.9.2005 a provisional assessment was prepared. This provisional assessment mandatorily ought to have been preceded by a show cause notice and he submitted that it was trite law that the principles of natural justice should always supplement all statutes. In this regard, he relied upon **AIR 1970 SC 150 (A.K. Kraipak & Ors vs. Union of India and others)**.

When before the preparation of the provisional assessment, no opportunity of hearing was granted to the petitioner no.1, learned counsel for the petitioners submits that the provisional assessment was bad in the eyes of law. He further submits that before the preparation of the provisional assessment as per the judgement of this Court reported in **2008 (6) ADJ 660 (DB) : (Ashok**

Kumar and Others vs. State of U.P. and others)

as per the paragraph no. 58 of the judgement, the provisional assessment ought to have been preceded by a show cause notice. To bolster his argument, the petitioners relied upon paragraph no. 58 and a certain portion of it is being reproduced here as under:-

“This Court is clearly of the view that before making provisional assessment, the assessing officer, in law, is bound to afford an opportunity to the consumer or person concerned of the allegations of means and ways in which he is said to have unauthorizedly used electricity, and, should be given an opportunity of placing his defence. Thereafter the assessing officer shall record its conclusion with respect to unauthorised use of electricity, to confer upon himself the jurisdiction to issue provisional assessment notice. The object of opportunity at the two stages namely, before arriving at the conclusion of unauthorised use of electricity and before making final assessment are distinct. In the former, it is the very issue whether the consumer is guilty of unauthorised use of electricity or not and in later case it is the quantum of amount which he is required to pay as a compensation and a fiscal preventive measure for committing such irregularity. The first one is the stage of finding the person guilty and later one is the stage of determining extent of monetary liability for compensating electrical undertaking qua the alleged unauthorised use of electricity by such persons. It is only when the proceedings are conducted in the above manner, the assessment made can be held valid and not otherwise.”

- IV. As per the petitioner, Clause 8.1 and Clause 8.2 of the provisions of U.P. Electricity Supply Code, 2005 also ought to have been adhered to as under Clause 8.1 and 8.2, a complete procedure had been provided which had not been adhered to at all.

Learned counsel in the end submitted that when on an inspection made by the electricity department, bills had been issued till the date of inspection of the minimum consumption charge then the electricity department was illegally issuing the bills of the 180 days preceding the date of inspection i.e. it could

be presumed that the bill which was being prepared for the 180 days before the inspection dated 12.9.2005 was not honouring the minimum charges bills the petitioner was being sent. Learned counsel, therefore, submitted that the department ought to be penalized for not honouring its earlier bills.

Learned counsel appearing for the respondents, however, has submitted that if the petitioner no.1 was aggrieved by the final assessment then it should have filed an Appeal under Section 127 of the Electricity Act 2003. This having not been done, the High Court need not interfere in the instant writ petition.

Having heard the learned counsel for the petitioner, the learned counsel for the Electricity Department and the learned Standing Counsel, we are of the view that the writ petition deserves to be allowed.

The petitioner no.1 had continued to pay his minimum consumption charges till the date when the PVC Granules Manufacturing Units commenced then, definitely it would lead us inevitably to presume that the Electricity Department was throughout inspecting the premises of the petitioner and was finding that no electricity was being consumed illegally till the last bill was paid.

Further, we are of the view that at the time of the inspection, independent witnesses were not present and it cannot be presumed that anything illegal was going on by way of using electricity without any authority. Definitely, as per the judgements reported in **2008 (6) ADJ 660 (supra) & AIR 1970 SC 150 (supra)** the principle of natural justice were not observed before issuing the provisional assessment no show cause notice was issued to the petitioner no.1. We are also of the view that the assessing authority who was required to make inspection had yet not been designated till 27.6.2006 when the Notification No.

173/2006-XXIV/P-3-27P/98,T.C was issued.

We are also of the view that if before the provisional assessment, an opportunity of hearing was not provided to the petitioner no.1 then the provisional assessment was per se illegal.

We are also of the view that the Electricity Department ought to have been punished for not relying on the bills which it itself had sent on the basis of minimum consumption of electricity.

Still further, we find that since there was an extreme violation of principle of natural justice, the writ petition was maintainable and the petitioner was not to be relegated to avail the alternative remedy.

For the reasons stated above, the writ petition is **allowed**. However, we are not taking any action against the Electricity Department as the matter is very old and it would be difficult to trace out the individuals who were responsible for disbelieving the Electricity Bills which were sent on the basis of minimum consumption to the petitioner no.1 before the provisional assessment was made.

Allowing the writ petition would not mean that the respondents would be precluded from taking further action. Any action permissible under law may be taken against the petitioners after giving them an opportunity.

Order Date :- 28.4.2023

PK

(Rajendra Kumar -IV,J.) (Siddhartha Varma,J.)